AS

ECONOMICS

7135/1

Paper 1 The Operation of Markets and Market Failure

Practice Paper — Hard

Time allowed: 1 hour 30 minutes

Materials

For this paper you must have:
- the Insert (Extracts A–F included within this paper)
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Answer **all** questions in **Section A**.
- Answer **either** Context 1 **or** Context 2 in **Section B**.
- You must answer the questions in the spaces provided.
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The maximum mark for this paper is 70.
- The marks for questions are shown in brackets.
- No deductions will be made for wrong answers.

Section A

Answer **all** questions in this section. Only **one** answer per question is allowed.

01 A positive economic statement

- **A** expresses a value judgement that cannot be tested.
- **B** is a prediction or factual claim that can in principle be tested against evidence.
- **C** always recommends a particular government policy.
- **D** is true only if the economy is in equilibrium.

[1 mark]

02 Two countries have identical production possibilities. Country X is producing at a point inside its PPF. Country Y is producing at a point on its PPF. Compared with Country Y, Country X is

- **A** operating more efficiently.
- **B** experiencing some unemployment of factors of production.
- **C** definitely producing more output than Country Y.
- **D** facing a higher opportunity cost of producing one good in terms of the other.

[1 mark]

03 The own-price elasticity of demand for a good is found to be exactly –1. The good is being sold at a price above the marginal cost of production. The firm decides to lower the price slightly. Which one of the following is most likely?

[1 marks]

- **A** Total revenue rises and total profit definitely rises.
- **B** Total revenue is unchanged and total profit definitely falls.
- **C** Total revenue is unchanged and total profit could either rise or fall depending on costs.
- **D** Total revenue falls and total profit definitely falls.

[1 mark]

04 The demand for a good rises by 25% when the price of a related good falls by 10%. The cross elasticity of demand between the two goods is

- **A** +2.5, suggesting the goods are close substitutes.
- **B** –2.5, suggesting the goods are close complements.
- **C** +0.4, suggesting the goods are weak substitutes.
- **D** –0.4, suggesting the goods are weak complements.

[1 mark]

05 Figure 1 shows the market for a foodstuff. The equilibrium price is 50p. The government introduces a maximum price of 30p.

[1 marks]

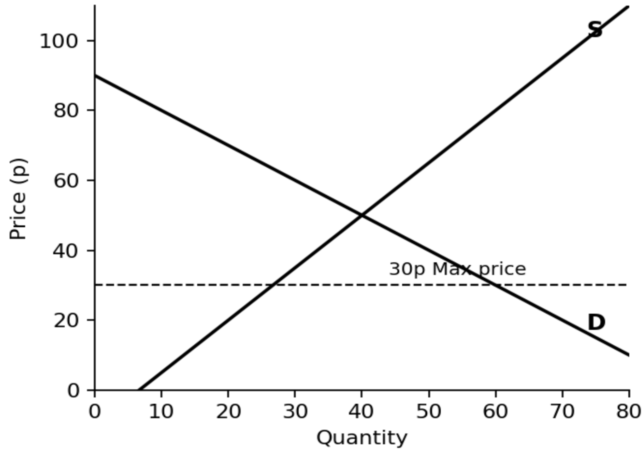


Figure 1

Which one of the following is most likely to result?

- **A** A persistent surplus of the foodstuff.
- **B** A persistent shortage and a possible black market for the foodstuff.
- **C** An increase in producer surplus.
- **D** Allocative efficiency at the new lower price.

[1 mark]

06 Which one of the following is most likely to be true about a good that has a price elasticity of supply of exactly zero?

- **A** Quantity supplied falls to zero if the price falls.
- **B** Quantity supplied is fixed regardless of price changes.
- **C** Quantity supplied changes by an infinite amount in response to a small change in price.
- **D** The supply curve is horizontal at the prevailing price.

[1 mark]

07 Common access (open access) resources, such as ocean fisheries, are most likely to be over-exploited because they are

- **A** rival in consumption but non-excludable.
- **B** non-rival and excludable.
- **C** non-rival and non-excludable, like pure public goods.
- **D** rival and excludable, like private goods.

[1 mark]

08 Asymmetric information in the market for private health insurance is most likely to give rise to

- **A** perfect competition between insurers.
- **B** adverse selection, with high-risk individuals being more likely to buy insurance.
- **C** constant returns to scale in the insurance industry.
- **D** a fall in the average premium charged.

[1 mark]

09 A profit-maximising firm in the short run will continue to produce, even though it is making a loss, as long as price covers

- **A** average total cost.
- **B** average fixed cost.
- **C** average variable cost.
- **D** marginal cost.

[1 mark]

10 Compared with a competitive market, a profit-maximising monopolist typically

A produces a higher output and charges a lower price.

B produces the same output but at a lower cost.

C produces a lower output and charges a higher price, generating a deadweight welfare loss.

D is always allocatively and productively efficient.

[1 mark]

11 Table 1 shows estimates of the marginal private cost (MPC), marginal external cost (MEC) and marginal benefit (MB) of producing four levels of output of a good.

[1 marks]

Output	MPC (£)	MEC (£)	MB (£)
100	8	2	20
200	12	4	16
300	16	6	12
400	20	8	10

Table 1

Which level of output is most likely to be the social optimum?

A 100.

B 200.

C 300.

D 400.

[1 mark]

12 A specific (per-unit) tax of £2 is levied on a good. The supply curve is upward-sloping and the demand curve is downward-sloping. Compared with the pre-tax equilibrium, the new equilibrium will show

A a fall in price by exactly £2.

B a rise in price by exactly £2, regardless of elasticity.

C a rise in price by less than £2, with the burden shared between producers and consumers in proportions that depend on PED and PES.

D no change in either price or quantity.

[1 mark]

13 A firm has the following short-run cost data at an output of 100 units: total cost £900; total fixed cost £300. The average variable cost at this output is

A £3.

B £6.

C £9.

D £12.

[1 mark]

14 Which one of the following is most likely to make the supply of a good more price elastic in the long run than in the short run?

[1 marks]

A A reduction in the mobility of factors of production.

B Greater spare capacity and the ability to install new capital equipment.

C An increase in the rate of value added tax.

D A fall in the productivity of labour.

[1 mark]

15 A natural monopoly exists when

A the government grants a single firm an exclusive licence to operate.

B one firm can supply the entire market at a lower long-run average cost than two or more firms could.

C consumers prefer to buy from one supplier even when others exist.

D demand is perfectly inelastic.

[1 mark]

16 A regulator imposes a price cap of RPI – X on a privatised utility, where X is a productivity improvement target. The principal aim of this policy is to

A raise the firm's profit by allowing prices to rise in line with inflation.

B encourage the firm to lower its costs by cutting prices in real terms each year.

C ensure that the firm always operates at a loss.

D remove all government intervention in the market.

[1 mark]

17 Behavioural economists argue that consumers often deviate from rational choice. Which one of the following is an example of consumer bias relevant to government intervention?

A Perfect information about all available products.

B Present bias — consumers value present consumption disproportionately over future consumption.

C Consumers always maximising expected utility under uncertainty.

D Consumers responding instantly and fully to every small price change.

[1 mark]

18 Which one of the following statements about derived demand is most likely to be true?

A The demand for steel rises when the demand for cars falls.

B The demand for car factory workers depends on the demand for cars.

C The demand for a good is independent of demand for any other good.

D Derived demand only applies to consumer goods, not to factor markets.

[1 mark]

19 Government failure in a market is most likely to occur when

A the government accurately identifies a market failure and intervenes proportionately.

B the cost of intervention exceeds the benefits, and unintended consequences make resource allocation worse.

C the market produces the socially optimal level of output without intervention.

D the price mechanism succeeds in rationing scarce resources.

[1 mark]

20 Productive efficiency in a market is achieved when

A firms produce at the lowest point of their long-run average cost curves.

B price equals marginal cost for all units produced.

C consumer surplus is maximised.

D all profits are normal profits.

[1 mark]

END OF SECTION A

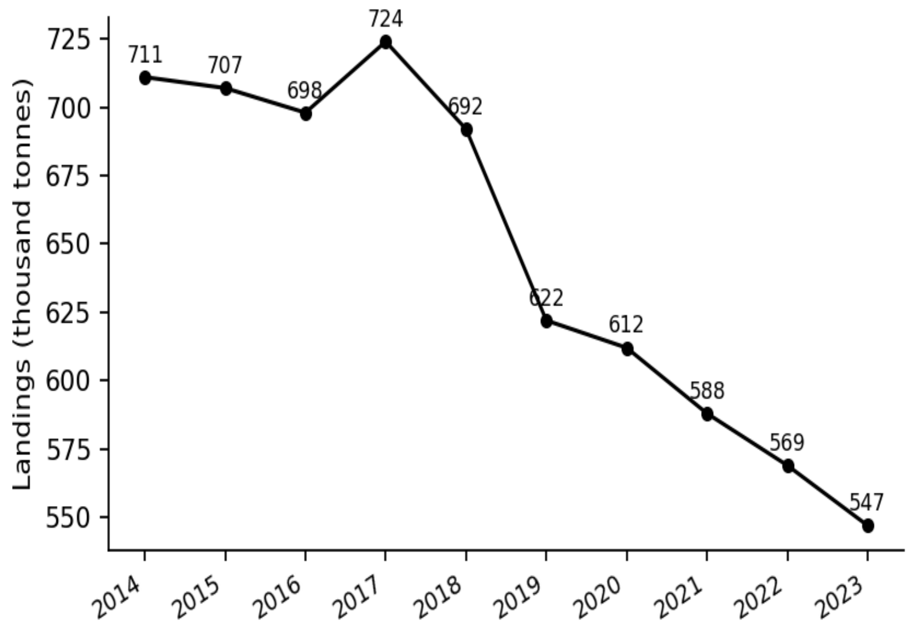
Section B

Answer **either** Context 1 **or** Context 2. There is a total of 50 marks for either context.

EITHER

Context 1 — The UK fishing industry *Total: 50 marks*

Extract A: UK fishing fleet — total quantity of fish landed, 2014–2023 (thousand tonnes)



Source: adapted from UK Sea Fisheries Statistics

Extract B: A common resource under pressure

Wild fish stocks in the seas around the UK are a classic example of a **common access resource**: a resource that is rival in use but very costly to exclude potential users from. In the absence of effective regulation, individual fishing vessels have an incentive to catch as many fish as possible before others do. Over time, this drives stocks below the level needed for the population to regenerate. The Marine Conservation Society estimates that around 36% of fish stocks in UK waters are being fished at unsustainable levels.

The UK government and the devolved administrations operate a system of total allowable catches (TACs) and individual fishing quotas. Vessels must record all landings and may be inspected. The Marine Management Organisation employs around 240 enforcement officers. Many small-scale fishers complain that quotas are too restrictive and that the costs of compliance are too high for the small volumes they catch. Larger industrial trawlers, by contrast, are able to benefit from economies of scale.

Rising fuel costs and shortages of skilled crew have made fishing less profitable in recent years and the size of the fleet has declined.

Extract C: Should the government do more?

Environmental groups argue that the government should reduce quotas further and create more 'no-take' marine protected areas where commercial fishing is banned. They argue that allowing fish stocks to recover would generate long-term benefits for fishers, consumers and the wider marine ecosystem. Others suggest tradable fishing permits, which would let firms with the lowest costs continue to fish while others were paid to stop.

Fishing communities depend heavily on the industry for jobs and incomes, particularly in coastal areas with few alternative employment opportunities.

Stricter regulation could raise the price of fish in shops and worsen food inflation, which has already risen sharply in recent years.

Critics of further intervention argue that the existing quota system already raises costs, that enforcement is imperfect and that international fishing fleets continue to operate in adjacent waters. They suggest that further restrictions in the UK may simply transfer fishing activity overseas.

Should the government tighten regulation of UK fishing, or are alternative approaches preferable?

21 Define '**common access resource**' (**Extract B**, lines 1–2).

[3 marks]

22 **Extract A** shows UK total fish landings. The average wholesale price of fish in 2014 was £1 480 per tonne. In 2023 the average price was £2 350 per tonne. Calculate the percentage change in the total wholesale value of UK fish landings between 2014 and 2023. Give your answer to **one** decimal place.

[4 marks]

23 Use **Extract A** to identify **two** significant features of UK fish landings over the period shown.

[4 marks]

24 Two products are produced using the same scarce marine resources: 'wild-caught fish' and 'farmed fish'. Draw a production possibility diagram showing the potential output of these two products. Show on this diagram the effect of a fall in the regenerative capacity of wild fish stocks, while the productivity of fish farming is unchanged.

[4 marks]

25 **Extract B** (lines 1–7) describes how a common access resource may become over-exploited. Explain how the operation of the free market may lead to the over-exploitation of UK fish stocks.

[10 marks]

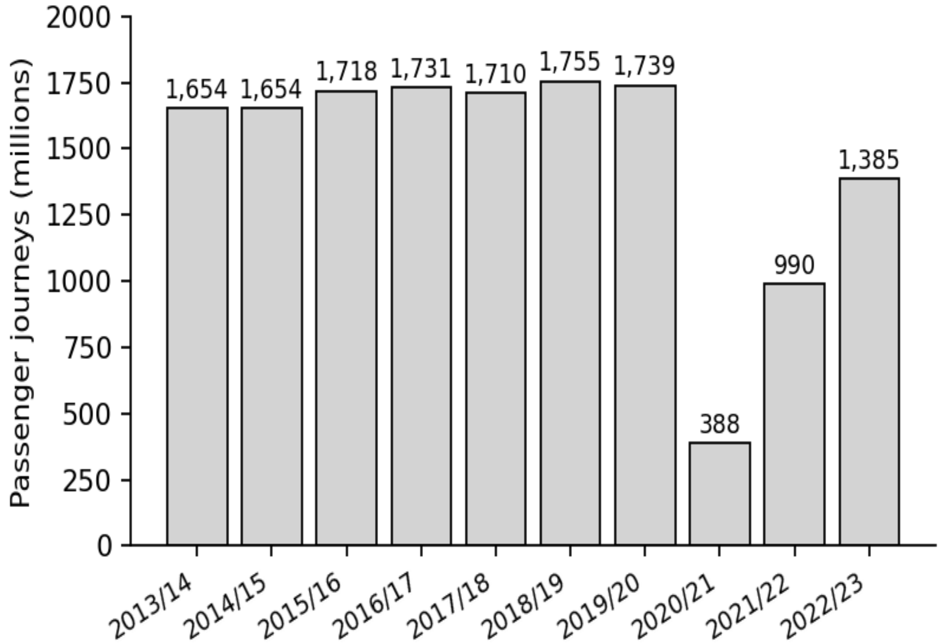
26 **Extract C** (lines 15–16) asks whether the government should tighten regulation of UK fishing. Use the extracts and your knowledge of economics to discuss whether the UK government should impose tighter regulation of UK fishing.

[25 marks]

OR

Context 2 — The market for rail travel in Great Britain *Total: 50 marks*

Extract D: Passenger journeys on the Great Britain rail network, 2013/14–2022/23 (millions)



Source: adapted from Office of Rail and Road statistics

Extract E: A regulated industry

The Great Britain rail network has many of the characteristics of a **natural monopoly**. The infrastructure — track, signalling, tunnels, bridges — involves huge fixed costs and very low marginal costs once it is in place. It would be wasteful to build two parallel networks. For this reason, infrastructure is owned by a single state-owned body, Network Rail, while train services are operated under franchise by a number of train operating companies (TOCs). Fares on most regulated tickets are capped to grow no faster than RPI inflation.

Rail services generate positive externalities. They reduce congestion on roads, cut emissions per passenger kilometre and provide access to jobs and education for people without cars. Subsidies of £14 billion or more per year support the industry, paid for by taxpayers.

The pandemic caused passenger numbers to collapse, and although demand has recovered, it remains below pre-2020 levels. Industrial action by drivers, signallers and other staff has further disrupted services. Many commuters now work from home for part of the week, reducing the number of peak-time journeys.

Extract F: Pricing and policy

Critics argue that the system of fares is overly complex. There are over fifty million different fare combinations for journeys in Great Britain. Anytime fares are often three or four times the price of Advance tickets bought weeks in advance. Consumers may pay too much through information failure.

Some economists argue that rail subsidies should be reduced. They suggest the benefits of rail travel mainly accrue to higher-income commuters in the South East, while taxpayers across the country fund the system. Others argue that subsidies should rise to keep fares affordable, encourage modal shift from car and air travel and reduce CO_2 emissions. The government is currently considering reforms that would simplify ticketing, create a new public-sector operator and reduce the role of the private franchises.

Should the government increase spending on rail to keep fares low, or are there more important priorities?

27 Define '**natural monopoly**' (**Extract E**, lines 1–2).

[3 marks]

28 **Extract D** shows passenger journeys on the GB rail network. Calculate the percentage change in passenger journeys between 2019/20 and 2020/21. Give your answer to **one** decimal place.

[4 marks]

29 Use **Extract D** to identify **two** significant features of passenger journeys on the GB rail network over the period shown.

[4 marks]

30 An economy uses limited resources to provide two services, 'rail transport' and 'road transport'. Draw a production possibility diagram showing the potential output of these two services. Show on this diagram the effect of a transfer of resources from road transport to rail transport, with all resources remaining fully employed.

[4 marks]

31 **Extract F** (lines 1–4) describes complex pricing and possible information failure. Explain factors that could cause rail fares to rise.

[10 marks]

32 **Extract F** (lines 12–13) asks whether the government should increase spending on rail to keep fares low. Use the extracts and your knowledge of economics to discuss whether the UK government should increase its subsidies to the rail industry.

[25 marks]

END OF QUESTIONS